GETTING READY TO SELL

Getting Your Building Sale-Ready: The Document Checklist

A buyer of an industrial or flex building will run a structured review of its leases, finances, legal status and physical condition. The smoother that review goes, the faster you close and the less room there is to renegotiate. This is what a buyer will typically ask for. You do not need every item polished to sell; the more you can hand over early, the stronger your position.

01 Leases and tenancy

The heart of the file for any occupied building, because it drives the income the building is valued on.

- [ ] **All leases and amendments** — signed copies of every current lease, plus every amendment, side letter and renewal.
- [ ] **Current rent roll** — every tenant: suite, square footage, current rent, escalations, start and end dates, renewal options, security deposit held.
- [ ] **Tenant estoppel certificates** — short confirmations each tenant signs verifying its rent, term and deposit, and that no one is in default.
- [ ] **Security deposit accounting** and a record of any pending lease disputes or defaults.

> THE NUMBER-ONE DEAL KILLER
>
> A rent roll that disagrees with the signed tenant estoppels is one of the most common causes of price retrades and collapsed deals. Reconcile your rent roll against the actual leases before you go to market.

02 Financial records

- [ ] **Operating statements** for the last two to three years — income and expenses for the property.
- [ ] **Current year's budget** and, if you reconcile CAM with tenants, your CAM reconciliations.
- [ ] **Property tax bills** and any pending assessment appeals.
- [ ] **Utility bills** and a schedule of **service contracts** (landscaping, snow, fire/life-safety and similar).
- [ ] **Capital expenditure history** — major work on the roof, HVAC, paving or structure, with dates and costs.

03 Title, survey and legal

- [ ] **Deed** and your existing owner's **title insurance policy**, if you have one.
- [ ] **Survey** — an existing ALTA or boundary survey saves the buyer time and money.
- [ ] **Recorded easements, covenants or agreements** affecting the property.
- [ ] **Existing loan documents**, if there is debt to be paid off or potentially assumed.

04 Environmental and physical

Industrial sites carry environmental history more often than other property types, so expect these. They are routine, not alarming.

- [ ] **Phase I Environmental Site Assessment** — and a Phase II if one was ever done. If you have a recent Phase I, provide it; if not, the buyer will order one.
- [ ] **Property Condition Assessment** or any recent engineering or inspection reports.
- [ ] **As-built drawings, floor plans and site plans.**
- [ ] **Certificate of occupancy** and records of any open permits or code violations.
- [ ] **Zoning** information confirming the building's use is permitted.

05 Entity and authority

The buyer's attorney and the title company will need to confirm who actually has the authority to sell.

- [ ] **Organizational documents** for the owning entity — articles of organization, operating agreement or partnership agreement.
- [ ] **Evidence of good standing** and any **resolutions or consents** authorizing the sale.
- [ ] If the property was inherited or is held in an estate or trust, the documents establishing **authority to sell**.

Why this protects your price, not just your timeline

Being organized shortens due diligence: every week a property sits under contract is a week something can go wrong. It also builds buyer confidence, and confident buyers pay full price. Missing records, unreconciled rent rolls and surprises found late are what buyers use to justify a lower number or a mid-deal renegotiation.

> A SIMPLE TEST
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> If a buyer asked for your rent roll, your last two years of operating statements and a copy of your leases tomorrow, could you produce them by the end of the week? If not, that gap is the first thing worth closing, before you talk price with anyone.

Want a direct conversation about your building?

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